UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**

Paper 1 Multiple Choice **October/November 2009**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

8850422357

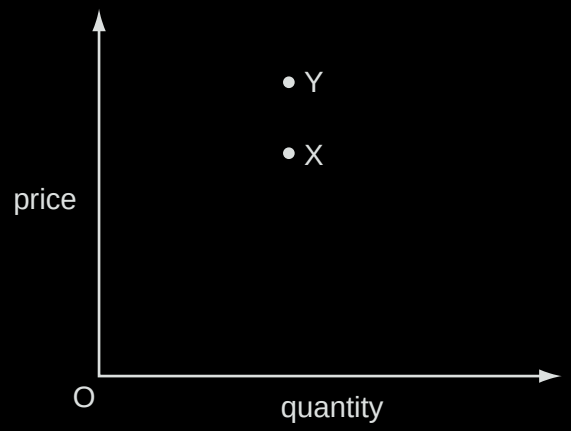
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



Which combination of changes in demand and supply could have caused the movement from X to Y?

	demand	supply
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

8 A large supermarket applied to build on land which was an area of natural beauty. The local government allowed the building, even though the natural beauty of the area would be lost, because many jobs would be created and much needed income would be brought to the local community.

Which economic ideas **cannot** be found in the above statement?

A external cost and private enterprise

B free market and the conservation of resources

C opportunity cost and improved standards of living

D public sector and external benefit

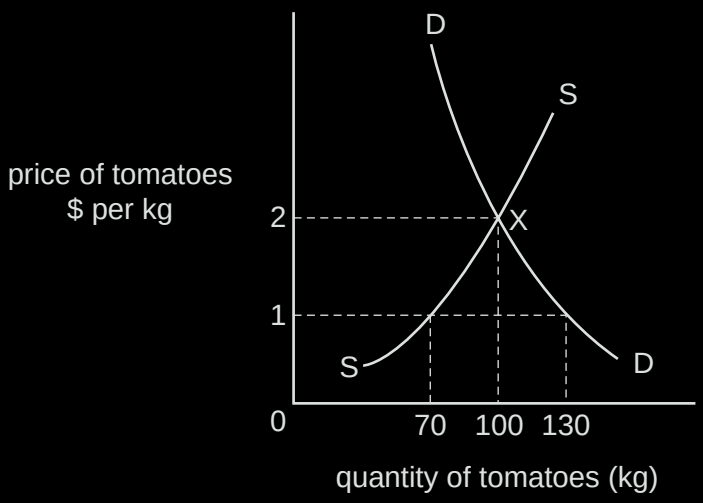
9 For what would price elasticity of demand be used?

A calculating current disposable income

B calculating the rate of price inflation

C estimating changes in a company's cost

D identifying changes in consumer spending patterns



What will happen if the government imposes a maximum price of $1 per kg?

A Demand will exceed supply by 30 kg.

B Demand will exceed supply by 60 kg.

C Market price will fall to $1 but quantity will remain at 100 kg.

D Market price will remain unchanged but quantity will fall to 70 kg.

12 A product has a price elasticity of demand that is greater than one.

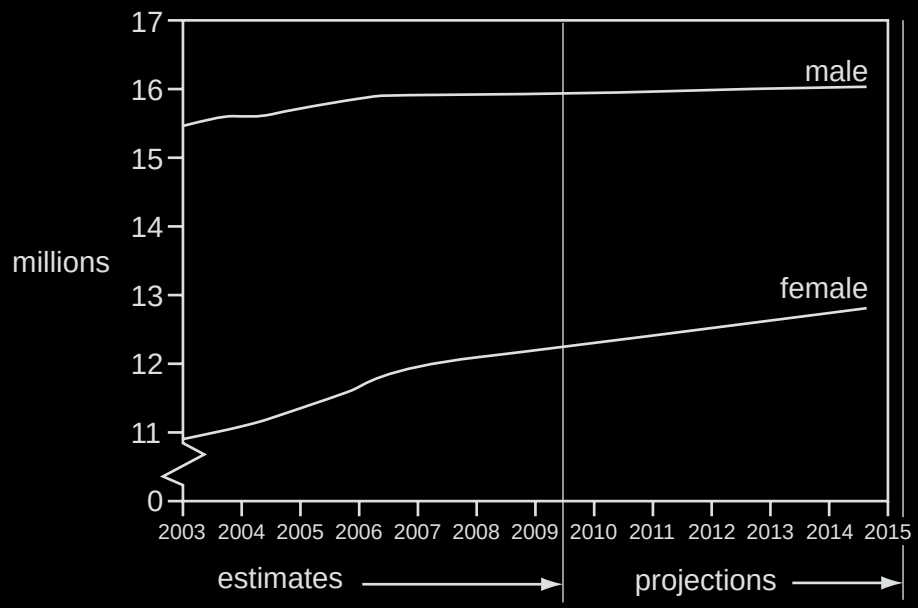
What will happen to total revenue if the price of the product is reduced by 3 %?

A It will fall by more than 3 %.

B It will fall to zero.

C It will be unchanged.

D It will rise.



What may be concluded from the graph?

A Between 2003 and 2015, women will become a higher percentage of the labour force.

B It is estimated that more girls than boys will be born between 2003 and 2005.

C The labour force will remain relatively unchanged after 2006 at approximately 16 million.

D The total population of the country in 2010-2011 will be approximately 28 million.

29 In 2008 inflation was close to 100 000 % in Zimbabwe. In a bid to reduce this high rate, the Zimbabwean Government imposed maximum prices on a range of products. This caused price rises amongst those goods sold unofficially or illegally.

What could explain this?

A The maximum prices increased demand whilst reducing supply.

B The maximum prices reduced demand whilst increasing supply.

C The maximum prices were set above the equilibrium price levels.

D The maximum prices were set at the equilibrium price levels.